EXECUTIVE SUMMARY

D2C Fashion Brand · SQL-Driven Retention

3,900	43.0%	42.6%	$59.76	41.9%
Customers	Promo Dependent	Genuinely Loyal	Avg Spend	High Satisfaction

F1 THE PROMO TRAP

- 43% of customers have never bought without a discount, the brand is not building loyalty.
- Promo dependency is consistent across all value tiers (41–45%). The program subsidizes even customers who would buy anyway.
- Revenue at risk if discounts removed today: ~43% of transaction volume.
- Loyal customers spend $5.33 more per order and have 15% higher purchase history without needing a deal.

F2 THE LOYAL CORE EXISTS

- 1,660 customers (42.6%) are genuinely loyal. They buy at full price and show strong repeat behaviour.
- These customers are under-rewarded — no tier, no recognition, no exclusive access.
- Ideal Customer: Age 36–57, subscribed, credit card, weekly–monthly cadence, avg 34 prior purchases.
- High satisfaction rate (42%) among this segment signals real brand affinity, not transactional habit

F3 GEO + CATEGORY GAPS

- Arizona & Kansas: high avg spend ($55–$67), low promo rate (24–34%), below-avg volume —> prime underlevered markets.
- Pennsylvania: high spend but 44.6% promo dependency —> risky territory if discounts are reduced.
- Outerwear shows the best entry-to-retention conversion (34%) — strongest category bridge.
- Clothing is highest volume but weakest for retention —> works as entry, needs follow-up strategy

PRIORITY ACTIONS

Now	Freeze promo-first acquisition. Launch Brand Insiders loyalty tier for Premium + Loyal segment (is_loyal=1). Zero cost, builds the control baseline.
90 days	Replace % discounts with Brand Credits for High/Premium promo hunters. Pilot 30% of segment. Preserves margin while decoupling buying from discount trigger.
6 Mo.	Shift Mid-tier to Outerwear-specific promos only, then cross-sell full-price Clothing. Target: 20% of Mid promo hunters make one full price purchase.
12 Mo.	Sunset Low-tier discounts. Launch acquisition in Arizona, Kansas, Tennessee with brand-first creative. Target: 200+ organic customers, promo rate < 25%

SUCCESS METRICS

Promo Dependency **43% <25%** by Month 12	**Loyal Share** **42.6% 55%+** by Month 12
Full-Price Repurchase **+30%** Phase 1 pilot segment	**Brand Insiders Retention** **80%+** 6-month retention
Gross Margin / Customer **+8%+** vs. current baseline	**Organic Geo Acquisition** **200+ customers** AZ, KS, TN by M12